India’s tourism potential is enormous. Export revenues from tourism are earned by tourist arrivals in the country. Therefore, to build a big tourism export revenue business, India will require to adopt requisite policies and programmes, develop infrastructure of airlines, roads, hotels and eateries, and invest in soft services.

France used to receive about 90 million tourists a year until 2019; Spain around 83 million; the US 80 million; and China and Italy about 65 million. Turkey and Mexico used to see between 40 and 50 million tourist arrivals a year. Several countries, including Thailand, Germany and the UK, saw tourist arrivals exceeding 35 million a year.

Tourist arrivals in India in 2019 were about 17–18 million, much less than five other Asian countries: Japan (32 million), Malaysia (26 million), Hong Kong (24 million), Macau (19 million) and Vietnam (18 million).

India has liberalized e-visas for tourists from most countries as part of its focus on the CSSS for tourism and hospitality services. While this is significant, much more needs to be done to aspire to over 50 million tourists a year. This challenge has become tougher after COVID-19.

Other Services

Globalization is driving the growth of business and consulting services. Digitalization is enabling the delivery of business and professional services in the form of cross-border trade and numerous firms now work practically in virtual mode.

IP services, which include royalties and fees for reproduction and distribution of copyrights, although small in size for the present, are growing quite well. IP services exports primarily flow from advanced countries to the developing countries; 92 per cent of exports of IP services of about $400 billion originated from developed countries.

There were over 5 million international students in 2017.